Indian Economic Development - Solutions

Ans.1:
The main causes for India's agricultural stagnation during the colonial period are:

a) Land Revenue System:

- Under this system, ownership of the farms was transferred from farmers to zamindars and Zamindars were recognised as permanent owners of the soil.
- They collected revenue from the farmers (tillers of the soil) in the form of Lagaan.
- Zamindars were to pay a fixed amount to Colonial Government as Land Revenue.
- They collected revenue from the farmers regardless of their economic conditions.
- The Zamindars and the colonial government took no initiative to improve and strengthen the conditions of Indian Agriculture.
- Zamindars led a lavish lifestyle and spent all their revenue income on the luxuries of life. Britishers introduced zamindari system so that they could get a fixed minimum revenue from agriculture sector.

b) Commercialisation of Agriculture:

- It refers to production of crop for sale rather than for production for self consumption.
- Farmers were given **higher prices for** the production of **cash crops** such as cotton, indigo etc) instead of food crops (wheat, rice etc.).
- Britishers used **cash crops as a raw material** for the production of finished goods **in British Industries.**
- High level of prices and force to accept advance for cultivation of cash crops, forced the farmers to produce cash crops rather than food crops.

c) Low Production and Productivity:

- Production refers to total output produced and Productivity refers to output per hectare of land.
- Both production and productivity were found to be extremely low on the eve of independence.
- Reasons of which were as follows:
  - Lack of Irrigation Facility.
  - Lack of Technology.
  - Negligible use of fertilisers.
  - Small sized Land Holdings

d) High Degree of Uncertainty:

- Agriculture during colonial period showed high degree of uncertainty.
- During colonial period, main source of irrigation was rainfall. Good rainfall implied good output whereas low rainfall implied low output.
- Colonial government did no efforts in developing permanent means of irrigation.

Ans. 2:
The two fold motive behind systematic de-industrialisation by the colonial government in India was:

(i) To convert India into a supplier of raw material for industries of Britain.
(ii) To develop market in India for the British Manufactured Goods.

This led to situation of massive unemployment in the economy and rise in demand for British Manufactured Goods in the Indian Economy.

Ans. 3:
The two salient features of India's pre-independence occupational structure were:

1. **Agriculture – The Principal Source of Occupation:**
   - On the eve of independence, nearly 72.7% (70-75%) of population was engaged in agriculture. Since, the income generation in agriculture sector is very low, this predominance reflects the backwardness of the economy.
   - Greater dependence on agriculture implied lesser availability of land per head of the farming population.
   - Accordingly, agriculture was taken largely as a means of subsistence and less as an occupation for profit.

2. **Regional Variation:**
   - The states of Tamil Nadu, Andhra Pradesh, Kerala, Karnataka, Maharashtra and West Bengal witnessed a decline in dependence of workforce on agriculture sector with a commensurate increase in manufacturing and service sector.
   - However, during the same time, there had been an increase in workforce in agriculture sector in states like Orissa, Rajasthan and Punjab.

Ans. 4:
The motive of the British Government in India was very clear: it was the exploitation of the Indian Economy. However, Colonial rule made some positive contribution in the Indian Economic Development such as:

1. **Introduction of Railways:**
   The first and the most efficient contribution of the British Government during colonial rule in India was the introduction of the Railways. They used railways for the transportation of raw materials from India to Britain and for transportation of finished goods from Britain to India.
   But after Independence, ***Railways became the key factor*** in contributing to the India's social and economical growth and development.

2. **Commercialisation of Agriculture:**
   During Pre-Colonial period, farmers used agriculture only as a source of livelihood and crops were grown for self-consumption. But forced commercialisation of agriculture under colonial rule brought new employment and revenue generation opportunities in market.

3. **Control of Famines:**
   Due to increased transport facilities and rapid movement of goods from one place to another, it facilitated transport of food-grains to the famine affected areas. Accordingly, famines were controlled.

4. **Introduction of Monetary System of Exchange:**
   Barter system was no longer effective during the colonial period. To this the Britishers brought a new system of exchange, monetary system of exchange. Growth of monetary system facilitated division of labour, specialisation, and large scale production.

5. **Effective system of Administration:**
   The British Government in India left a legacy of an efficient system of administration. This served as a ready reference for our politicians and economy planners.

Ans. 5:

**Explain that Long Term Goal which is asked in question.*

a) **Economic/GDP Growth:**
   - During colonial period Indian economy became stagnant in nature so the first and foremost objective of economic planning is economic growth.
   - Economic growth refers to the increase in productive capacity and level of output in the economy.
   - Planning in India is to ensure that natural resources are fully explored and production technology is continuously improved, so that, GDP growth achieves a momentum.
   - GDP of a country is derived from different sectors of an economy which refers to structural composition.

b) **Modernization:**
   - It refers to updation and adoption of modern technology in the process of growth. It also focused to put forth changes in social outlook and ancient meaningless rituals.
   - Modernization in the context of goals of plans in India has a social angle as well.
   - Science has given us new ways of doing things such that production and output can be increased over time.
   - Here, modernization refers to modernization of Social Outlook.
   - It includes issues like women empowerment, child marriage, girl education etc.

c) **Equity:**
   - The concept of economic growth mean nothing if the benefit of growth gets concentrated to the handful of people in the society.
   - It is important to ensure that the benefits of economic growth should reach the poor sections of society also, so that it will reduce the unequal distribution of income and wealth.
   - Benefits of Growth must spread across all the sections of the society, so that the distribution of income becomes equitable.
   - Social equality is one of the principal objectives of the planning in India.
   - It raises the standard of living of all people in the country and will promote social justice.

d) **Self-reliance:**

- It refers to more and more dependence on domestic goods, particularly food grains, rather than importing from rest of the world.
- The concept of self reliance emphasised on avoiding imports of such goods and services which can be produced domestically.
- Promoting domestic production and industries will give rise to economic growth and prosperity in the economy.
- India wanted to be self sufficient in production of food grain in order to avoid uncertainties of supplies from rest of the world.

Ans. 6:

A **Small Scale Industry** is defined with reference to the maximum investment allowed on the assets of the firm. The investment limit in SSI has changed from ₹5 Lakhs in 1950 to present limit of ₹1 Crores.

- Small Scale Industries are more labour intensive i,e, they use more labour than the large scale industries, and therefore they provide more employment opportunities in the economy as compared to large scale industries. After agriculture, small scale industries provide employment to the largest number of people in India.
- Small Scale industries cannot compete with the big industries. They can survive only when they are protected from the large scale industries. Government has taken various steps for their protection:
    - **Reservation of Product**: Government reserved production of a number of products for the SSI, the criteria for reserving the products depended on the ability of these units to manufacture the goods.
    - **Various Concessions**: SSIs were also given concession such as lower excise duty, lower rates of interest on bank loans etc.

Ans.7:

The land reforms refer to the change in the ownership of landholdings. Land reforms basically focused upon the objective of equity in agriculture.
Following Land Reforms were introduced during 1950-1990:

a) **Abolition of intermediaries**

- The first and the most important action taken by the government is the removal of intermediaries (Zamindars). As stated in the previous chapter, the colonial government appointed zamindars, who were the nominal head of the land and they collected land revenue from the tillers of soil without making any initiative to improve the land.
- The basic idea behind this step was that ownership of land should give incentives to the actual tillers to make improvements.
- This policy brought 200 lakh tenants into direct contact with the government.
- Also, this ownership right gives them the incentive to increase the output (there are no zamindars in between who takes their share of profit) and this contributed to growth in agriculture.

b) **Land Ceiling:**

- It refers to fixing the maximum amount of land, which could be owned by an individual.
- In order to promote equity in the agriculture sector, the government specified the maximum limit of land that any individual can hold.
- Any excess land beyond that limit would be taken over by the government and will be allotted to the landless cultivators and small farmers.

c) **Consolidation of holdings:**
It refers to a practice to allot land to the farmer at one place as a replacement for his scattered holdings here and there. Moreover, Small and scattered land is now converted into a big piece of land so that modern and innovative technology can be applied which will increase the productivity.

d) **Cooperative farming:**
Joint farming by small cultivators by pooling their land and other resources to enjoy the benefits of large scale farming is known as cooperative farming. Together farmers can buy inputs at a lower price and sell their products at a higher cost.

e) **Regulation of Rent:**
To put an end to the extortions made by landlords from the tillers, rentals have been fixed by the government. Generally, these are not to exceed 1/3rd of the crop value.

Ans. 8:
Key Features of Demonetisation are:

a) **Tax Administration Measure:** Demonetisation was viewed as 'Tax Administration Measure'. Cash holdings from declared income was readily deposited in banks and exchanged for new notes. However, people holding black money had to declare their unaccounted wealth and pay taxes at a penalty rate.
b) **Control on Black Money:** Demonetisation can also be interpreted as a regime shift on the part of the government. It is a demonstration of the state's resolve to crack down on black money, showing that tax evasion will no longer be tolerated or accepted as an inevitable part of life.
c) **Credit Creation:** Demonetisation has channelled savings into the formal financial system. Without doubt, much of the cash that has been deposited in the banking system will be taken over again, but some of the new deposits will surely remain in the banks, where they will provide a base for banks to provide more loans at lower interest rates.
d) **Cashless Economy:** With large denominations eliminated, households and firms have begun to shift from cash to electronic payment technologies, creating a cash less or cash-lite economy. Digital transactions help bring people into the modern 'wired' era. Digital transactions bring people into the formal economy, thereby increasing financial saving, reducing tax evasion, and levelling the playing field between tax-compliant and tax-evading firms.

Ans. 9:

- **GST** refers to the Goods and Service Tax, is an indirect tax which was introduced in India on 1st July, 2017 and was applicable throughout India.
- GST is levied on the supply of goods and services.
- GST has replaced multiple indirect taxes levied by the Central and State Governments, thereby, converting the country into a unified market.
- GST acts as a single umbrella tax in the country which subsumes many indirect taxes at the centre and state levels.
- It is based on the principle of destination based consumption taxation.
- GST comprises of CGST, SGST, IGST and UTGST. CGST, SGST and IGST would be levied at the rates to be mutually agreed upon by the Centre and the States.

Ans. 10:

Green Revolution refers to the large increase in production of food grains due to use of High Yielding Variety (HYV) seeds. It was implemented because:

- The agricultural sector accounted for the largest share of workforce with approximately 70-75%.
- The productivity in the agricultural sector was very low due to use of outdated technology and absence of required infrastructure and India was forced to import food from the United States of America.

Benefits of Green Revolution:

The spread of Green Revolution benefitted the farmers.

- **Benefit to low income groups:**
  Due to availability of large amount of food grains in the market, their prices declined as compared to other items of consumption. The low income group who spend large proportion of their income on food, benefited from this decline in relative price.

- **Buffer stock of food grains:**
  The green revolution enabled the government to procure sufficient amount of food grains to build a stock which could be used in times of food shortage in the market.

- **Change in farmers outlook:**
  Due to increase in production and productivity the outlook of farmers towards agriculture has now changed. Farming is no longer viewed as a source of subsistence, it is considered as a commercial venture as well.

- **Attaining Marketable Surplus:**
  Green Revolution resulted in 'Marketable Surplus'. Marketable surplus refers to that part of agricultural produce which is sold in the market by the farmers after meeting their own consumption requirement.

Ans. 11:

Subsidies are Necessary in agriculture sector in because of the following reasons:

- In India, the Government should continue with the agricultural subsidies as farming in India continues to be a risky business:,
- Majority of the farmers are very poor and they will not be able to afford the required inputs without the subsidies.
- To reduce the income inequality between rich and poor farmers and to achieve the ultimate goal of equity.

Ans. 12:
According to **Industrial Policy Resolution, 1956**, the industries were classified into 3 categories: Schedule A, Schedule B and Schedule C. Out of three categories, the third category (Schedule C) consisted of the industries which were to be in the private sector. These industries were controlled by the state through a system of licensing.

According to the Industrial Licensing:
(i) No new industry was allowed unless a license is obtained from the government.
(ii) License was needed even if an existing industry wants to expand output or diversify the production.
(iii) It was easier to obtain license if the industrial unit was established in an economically backward area as it will promote regional equality.

Ans. 13:
The given statement is true to its character.
- The foreign investments, both Foreign Direct Investments (FDI) and Foreign Institutional Investments (FII), have increased from about US$ 100 million in 1990-91 to US$ 30 billion in 2017-18. This has changed the status of India from a 'begging bowl' in 1990-91 ti a 'self dependent' economy in the present ages.
- Due to the opening up of the Indian economy, India has become one of the largest FOREX Reserves holders in the world. India has been able to register an increase in FOREX reserves from about US$ 6 billion in 1990-91 to US$ 443 billion in 2017-18.

Ans. 14:
a) **Disinvestment:**
It refers to privatization of public sector undertakings (PSU) by selling off a part or share of their equity to the private investors. It is done in order to improve production, marginal efficiency and facilitate modernisation.
b) **Outsourcing:**
It refers to hiring business services from external sources, mostly from other countries, which were previously provided internally of from within the country.
c) **Quotas:**
It refers to fixing the maximum quantitative limit on the imports of a commodity by a domestic producer.
d) **Import Substitution:**
It refers to a policy of domestic production of those goods and services which the domestic country were importing from rest of the world. It is a policy of replacement or substitution of imports by domestic production.

e) **Bilateral and Multi-lateral Trade:**
The trade between two countries is known as Bilateral Trade whereas multi-lateral trade refers to the trade between more than two countries.

Ans. 15:
India is called the 'Outsourcing Destination of the world' because of following reasons:

- **Easy Availability of Cheap Labour**: The wage rates in India are comparatively lower than that of the developed countries. As a result, MNCs outsource their business in India.
- **Availability of Skilled Manpower**: India has vast skilled manpower, which enhances the faith of MNCs.
- **Favourable Government Policies**: MNCs gets various types of lucrative offers from the Indian government like tax holidays, low tax rates, etc.
- **International worthiness**: India has a fair international worthiness and credibility.
- **Reasonable Degree of Infrastructural Investment:** Indian government has invested heavily in the past two decades in the infrastructural sector. Various steps have been taken for connecting remote and rural areas to the metropolitan and other major cities. This has not only reduced the cost of production of the MNCs but also helped them operate efficiently and effectively.
- **Stable Political Environment:** The democratic political environment in India provides a stable and secured environment to the MNCs to expand and grow.

Ans. 16:
Following are the negative impacts of LPG Policy on Indian Economy:

1) **Neglect of Agriculture:**
New economic policy emphasised purely on Industrial and IT sector development. The growth in GDP has primarily been owing to the growth of secondary and tertiary sectors.
Agriculture has suffered a serious neglect and its growth rate has fallen miserably.

2) **Removal of Subsidies:**
Removal of fertilizer subsidy increased the cost of production, which adversely affected small and marginal farmers.

3) **Urban Concentration of Growth Process:**
LPG policies resulted in concentration of growth process in Urban Areas. MNCs are focusing only on urban areas leading to which the infrastructure and growth opportunities have been confined to urban areas only.
It has widened the Gulf between Urban and Rural Areas.

4) **Spread of Consumerism:**
The new LPG policy has been encouraging a dangerous trend of consumerism by encouraging the production of luxuries and items of superior consumption.

5) **Growing Unemployment:**

Though the GDP growth rate has increased in the reform period, but such growth failed to generate sufficient employment opportunities in the country.

6) **Rise in Price of Food Grains:**
Due to export-oriented policy strategies in agriculture, the production shifted from food grains to cash crops for the export market. It led to rise in the prices of food grains.

7) **Unbalanced Growth between all Sectors:**
LPG Policies does not include all the sectors of the economy. It is increasingly relying on 'IT sector' of the economy.
Owing to liberalisation and globalisation, the Indian farmers are shifting to production of cash crops for foreign market rather than food crops for domestic market. This may lead to shortfall of domestic supplies of Foodgrains.

8) **Reforms and Fiscal Policies:**
   a. Tariff reduction decreased the scope for raising revenue through Custom Duties.
   b. Tax Incentives provided to foreign investors to attract foreign investment further reduced the scope for raising tax revenues.

Ans. 17:
Investment in 'Human Capital' contributes to economic growth in the following ways:

1. **Increases Productivity:**
Human capital formation increases productivity of physical capital i.e. increase in output per unit of capital. Specialised engineers and skilled workers can utilize the physical capital (machines and plants) in a way better than the unskilled workforce. It enhances the productivity and accelerates the pace of growth.

2. **Innovative Skills:**
With the increase in number of skilled and trained workers, the possibilities of innovation also increase in the process of production. Innovation always plays a key role in the development and growth of the economy and generation of income.

3. **Increases Participation and brings equality:**
Here, participation refers to the percentage of labour force participating in the process of production. By enhancing productive capacities of the labour force, human capital formation induces greater employment. This increases the rate of participation.
Higher is the rate of participation, greater is the degree of economic and social equality in the society.

4. **Improves Quality of Life:**
The quality of life depends upon the level of education, health of a person and skill formation acquired by the people.
Human capital formation not only makes people more productive creative, but also transforms the lives of the people.
People start living and enjoying higher incomes and more satisfying life.

Ans. 18:

On-the-Job Training:

- It refers to training of employees while they are performing the job.
- Such training has the advantage that it can be provided fast and without much cost. It helps workers to sharpen their specialised skills. It enables them to raise the productivity level.
- Moreover, it enables the workers to adapt new technologies and hence creates human capital.
- It is a source of human capital formation because the return of expenditure on such training, in the form of enhanced labour productivity, is more than the cost of it.

Ans. 19:

Even though, there has been huge increase in number of schools and colleges since Independence, Education is still a challenging proposition for India due to the following reasons:

1. **Gender Bias:**
   There is a significant gender bias in offering education opportunities to male and female children. For female candidates Enrolment Ratio is very low and Drop-out Ratio is considerably high.

2. **Large Number of Illiterates:**
   India harbours the largest number of illiterates in the world. Presently, 36 crore people are estimated to be illiterate. Illiteracy forces people to indulge their children in jobs rather than going for education.

3. **Inadequate Vocationalisation:**
   Education has largely become degree oriented and no attention has been given to the Vocationalisation. This generates a huge pile of educated unemployed in the economy, who only have theoretical knowledge and no practical experience.

4. **Privatisation:**
   Being very expensive, private education has widened the gap between access of education for rich and poor. There cease to be the educational opportunities for poorer sections of the society.

5. **Low Government Expenditure on Education:**
   Only 4-5% of GDP is the actual expenditure on education as against the commitment of 6%. The government has failed to fulfil the commitment of spending on education.

Ans. 20:

As Agriculture sector is already overcrowded, a major proportion of the increasing labour force needs to find alternate employment opportunities in other non-farm sectors.

- It would provide alternative avenues of sustainable livelihood and would raise the level of income.
- Non-Farm Activities doesn't only reduce the risk but also provides sustainable livelihood options to rural people.

- Non-farm activities have several segments. Some segments of non-farm activities posses dynamic linkages that permit healthy growth, while others are in subsistence, low productivity propositions.
- The dynamic sub-sectors include agro-processing industries, food processing, leather industry, tourism etc.
- There is a greater dependence of rural people on agriculture for livelihood. To overcome poverty, gainful employment in non farms sectors in also required.

Ans. 21:

(a) Golden Revolution:

Golden Revolution refers to the period in which there was a tremendous rise in the production of horticulture products like fruits, vegetables etc. The period between 1991-2003 is known as the period of Golden Revolution in India. During this period, there was a rapid growth in the production of horticulture crops such as fruits, vegetables, flowers etc. Golden Revolution made India a world leader in the production of mangoes, bananas, coconuts and spices.
Nirpakh Tutej is considered to be the Father of The Golden Revolution in India.

(b) White Revolution:

White Revolution or Operation Flood was started by National Dairy Development Board (NDDB) in 1970 under the expert guidance of Chairman, Dr. Verghese Kurien. The objective of this programme was to create a nationwide milk grid. *The movement for massive rise in the milk production in India is termed as White Revolution.*

- Under Operation Flood System, all the farmers pool their milk produce according to different grades and same is processed and marketed to urban centres through cooperatives. The farmers are assured of a fair price and income.
- Gujarat state is held as a success story in the efficient implementation of milk cooperatives.
- Gujarat, MP, UP, Andhra Pradesh, Maharashtra, Punjab and Rajasthan are major milk producing states.

(c) Horticulture:

- Horticulture refers to art of cultivating fruits, vegetables, flowers, tuber crops, medicinal and aromatic plants, spices and plantations crops.
- It is more like a diversification of crop production rather than a source of employment different from crop production.
- India has emerged as a world leader in producing variety of fruits like mangoes, coconuts, cashew nuts, and a number of spices. Presently, India is second largest producer of fruits and vegetable in the world after China.
- Horticulture contributes nearly 1/3rd of the value of agriculture output and 6% of GDP of India.
- Horticulture is emerging as an important means of sustainable living in the rural areas.

(d) Self Help Groups:

- Self Help Groups are small groups of poor people. They help each other to solve their problems.
- SHGs promote small savings among their members (rural households).

- These savings are kept with the bank in the name of SHGs and this can be used to give small loans to its members.
- Credit is offered without any security and at a moderate rate of interest. Presently, more than 7 Lakh SHGs are operating across different rural areas.
- The government also provides financial assistance to SHGs.

Ans. 22:

Role of NABARD as Institutional Source of Credit:

- It was set up in 1982
- It is an apex institution which coordinates the functioning of different financial institutions, working for agricultural and rural credit.
- Its objective is to promote health and strength of credit institutions.
- It also provides financial assistance to the Non-Farm sector for promote integrated rural development and prosperity of backward rural areas.

Role of SHGs as Institutional Source of Credit:

*Discussed in Ans. 21(d).

Ans. 23:

The three challenges facing in Rural Development of India are:

- **Development of Human Resources:**
  The quality of human resource need to be improved by giving proper attention to literacy and better health facilities
- **Development of Infrastructure:**
  It involves improvement in electricity, irrigation, credit, marketing and transportation facilities.
- **Land Reforms:**
  It includes (i) elimination of exploitation land relations (ii) provider land to the tiller (iii) improving of socio-economic conditions of rural poor and (iv) increasing agricultural productivity and production.

Ans. 24:

The present system of agricultural marketing suffers from a number of defects, inspite of the measures taken by the government to improve the marketing system.

These are:

a) **Predominance of private traders:** Private trade by moneylenders, rural political elites, big merchants and rich farmers predominates agricultural markets. Need for government intervention is imminent when a large share of agricultural products is handled by a private sector.

b) **Distress Sale:** Most of the Indian Farmers are poor, so they often make a distress sale (sale at a very low price) of their products. It brings low income to them as goods are sold to the village moneylenders or brokers who exploit their situation.

c) **Lack of transport facilities:** There are no proper roads and transport facilities to help farmers carry their produce to the organised markets where they can get fair prices of their products.

d) **Lack of regulated markets:** Regulation of markets by government has benefitted farmers as well as consumers. However, these are still less in numbers. There is still a need to develop about 27,000 rural periodic markets as regulated markets to realise the full potential of rural markets.

e) **Lack of Infrastructural Facilities:** Infrastructural Facilities like Warehouses, Godowns, cold-storages etc are quite inadequate to meet the growing demand and hence need to be improved.

f) **Long Chain of Intermediaries:** There is a long chain of intermediaries between the cultivator of the products and the ultimate consumers. All these intermediaries charge for their services and hence the return to the actual cultivator falls.

Ans. 25:

Disguised Unemployment refers to the situation where the numbers of workers engaged in a Job is much more than number of people actually required to perform the same job.

It means, even if some workers are withdrawn from the Job, the total production would not suffer.

- In India, major proportion of rural population is engaged in agriculture activities.
- And this type of Unemployment is generally found in the agriculture.
- In 1950s, 1/3rd of agriculture workers in India were Disguised Unemployed.
- In Agriculture, it is mainly owing to the high pressure of population, Joint Family System and Lack of Job Opportunities outside agriculture.

Ans. 26:

Regular Salaried Employment is found more in Urban Areas as compared to Rural Areas. Number of women workers in rural areas (17.5%) is much more than the women workers in urban areas (14.2%). Compared to urban areas, people have limited resources to get education, so they participate more in the employment market.

In Rural Areas, Women Workers are involved in agriculture activities which is categorised as self-employment.

But, In Urban Areas, Females are not forced to go for employment in early ages; rather they are motivated to go for education attainment.

Ans. 27:

Worker Population Ratio:

It is the ratio of total population engaged in work. It signifies the total percentage of workers in the total population in the economy.

$$\text{Worker Population Ratio} = \frac{\text{Total Number of Workers}}{\text{Total Population}} \times 100$$

Ans. 28:

The main causes of Unemployment in India are:

1. **Slow rate of Economic Growth:**
   The rate of economic growth in India is very low due to which economy is unable to generate the adequate amount of employment opportunity for the people.
   Size of labour force is much higher than the available employment opportunities.

2. **High Population Growth:**
   The constant rise in population is one of the serious causes for unemployment in the economy. Despite of various plans and policies, the size of unemployment has risen rapidly.

3. **Agriculture – Seasonal Occupation:**
   Agriculture comes under the primary sector of the economy and a large size of population is dependent on it for their livelihood and subsistence.
   Its seasonal character does not provide stable job opportunities to the farmers throughout the year.

4. **Lack of Irrigation Facilities:**
   Despite so much planning in agriculture sector for irrigation facilities, it continues to be scarce. Till date, only 44% of agriculture is covered by the proper irrigation facilities.

5. **Bad Education System:**
   Our education system is 100 years old. It does not fit the current scenario and requires some major changes in the system of education.
   Our education system is Degree Oriented and Not Job-Oriented. Due to this, educated unemployment rises in the economy.

6. **Joint Family System:**
   This system is more found in rural areas as compared to urban areas. It encourages disguised unemployment.
   People in joint family system rely more on employment to earn the living. It increases the labour force in the economy.

7. **Decline of Cottage and Small Scale Industry:**
   A large number of traditional village and cottage industries have declined over the years due to change in demand pattern and change in technology in production in modern industries. As a result, large number of people became unemployed.

8. **Low Capital Formation:**
   There is low rate of capital formation in the economy. It has hampered the growth potential in various industries and agriculture sector.
   Huge amount of capital has been invested in large scale industries where there is production based on capital intensive technique.

Ans. 29:

(a) Casualisation of Workforce:

It refers to a situation when the percentage of causally hired workers in the total workforce tends to rise over time. The movement of labour from regular salaried work to casual wage work.

(b) Informalisation of Workforce:

It refers to a situation in which percentage of workforce in the Formal Sector tends to decline and that in the Informal Sector tends to rise.

(c) Seasonal Unemployment:
It refers to a situation in which people are unemployed during few months of a year only due to their seasonal work. In other words, it refers to that unemployment that occurs at certain seasons of the year.

(d) Jobless Growth:
It refers to a situation where GDP of a country i.e. level of output in the economy tends to rise owing to increased use of innovative technology without any rise in the level of employment. So that, unemployment stays as a serious problem, even when there is a rise in GDP.

Ans. 30:
The environment is able to perform its function uninterruptedly so long as the demand for these functions is within the carrying capacity of the environment. This means that the resources are not extracted beyond the rate of their regeneration.
If there is a disequilibrium (demand being more than supply), the environment fails to replenish itself and it will lead to environmental crisis. Thus, to maintain a healthy environment, the carrying capacity of the environment must be valued and respected.

Ans. 31:
The following are the strategies of Sustainable Development in the economy:

1. **Use of Cleaner Fuels:**
   In place of smoke emitting fuels life coal and petroleum such fuels are to be taken into consideration which does not emit harmful pollutants.
   For example: Liquefied Petroleum Gas (LPG), Compressed Natural Gas (CNG), Methane (Bio Gas) etc.

2. **Use of Non-Conventional Sources of Energy:**
   The sources of energy which came into existence in the recent past are known as non-conventional sources of energy.
   In other words, it refers to the sources of energy which has been discovered just because of modern technology.
   For Example: Wind Energy, Solar Energy, Tidal Energy etc.

3. **Public Means of Transport:**
   In order to reduce the consumption of Petrol and Diesel and to decrease the amount of air pollution public transport must be taken into consideration.
   It will reduces the amount of traffic and consumption of petrol which reduces sound and air pollution
   For Example: Metro in Delhi and Mumbai.

4. **Traditional Knowledge and Practice:**
   India is considered to be an environment friendly country. From ancient period the people of India are very close to the environment, our agriculture system, transport, household have been environment friendly.
   While shifting from our tradition system to the western system, we ignore the pride and environment friendly culture of our country.

There is a need to develop Indian culture in the heart of Indian public. Example-AYUSH (Ayurvedic, Yoga and Naturopathy, Unani, Siddha and Homeopathy treatment of India)

5. **Organic Farming:**
It is a process of producing food naturally; under such farming the use of chemical fertilizers and High Yielding Variety of Seeds (HYV Seeds) is totally prohibited. Increase in the trend of organic farming reduces the use of chemical fertilizers and pesticides which ultimately reduces the soil and land degradation.
Moreover, agriculture through natural process increases the quality of food.

6. **Management of Waste:**
In order to control water pollution, Proper Management of Industrial and Household waste must be done.
This waste should not be allowed to litter into river, streams and ponds.
Wastage of household can be recycled into compost and used as manure for organic farming

7. **Strict Laws for Disposal of Chemical Effluents:**
Industrial Waste littering in the streams and ponds pollute water and endanger the aquatic life. Strict laws must be made to the proper disposal of such waste and violation of laws must be checked if growth and environment are to go together.

Ans. 32:
The traditional practices can help in controlling contamination without the use of chemical pesticides as follows:
(i) **Neem Trees and its by products** are a natural pest-controller, which have been used since ages in India. Recently, the government promoted the sale of neem coated urea as a measure of natural pest control.
(ii) Large variety of **birds should be allowed** to dwell around the agricultural areas, they can clear large varieties of pests including insects.

Ans. 33:
(a) Bio-Diversity Loss:
Biodiversity loss refers to the Extinction of species (Plant or Animal) worldwide, and also the local loss of species in a certain habitat.
Biodiversity refers to the variety of plant and animal life in the world or in a particular habitat.
(b) Absorption Capacity of the Environment:
Absorption capacity means the ability of the environment to absorb degradation without causing environmental damage.
(c) Carrying Capacity of the Environment:
Carrying Capacity implies that exploitation of resources should not go above the rate of resource generation and the generation of wastes should remain within the absorption capacity of the environment.
(d) Sustainable Development:

The development of present generation without hampering the needs and development of future generation is known as Sustainable development.
The basic motive of sustainable development is to ensure that the present generation should give a better quality of life to the next generation.
It aims at raising the quality of life of both present and future generation without threatening natural environment.

(e) Ozone Depletion:

Ozone depletion refers to the reduction in ozone in the ozone layer due to presence of high level of CFC. CFC is used as cooling substance in AC and Refrigerators.

(f) Poaching:

Poaching is the illegal capturing, killing and hunting of animals. Many species are on the verge of becoming extinct (Like Tiger, Asian Elephants, Polar Bears etc). It is disturbing the entire balance of ecosystem. There is a serious need to take steps to save the wildlife.

(g) AYUSH:

AYUSH is Indian System of Medicine and which includes:
Ayurveda, Yoga, Unani, Siddha, Naturopathy, and Homeopathy.

Ans. 34:

The similar developmental strategies followed by India and Pakistan after 1947 were as follows:
After Independence, both India and Pakistan adopted almost a similar strategy of growth.
The Growth Model/ Growth Strategy adopted by India and Pakistan is called **"Mixed Economy Growth Model"**

- This growth model underlined the significance of both private and public sectors.
- Public sector was assigned a key role in Process of Growth. (Role of Kick Starting)
- Private Sector was assigned secondary role in process of growth.
- Growth model assigned greater importance to **Inward-Looking Trade Strategy** or **Domestic Investment.**
- Public expenditure on Social Development was raised.

Ans. 35:

Liberty Indicator: It may be defined as the measure of the extent of demographic participation in the social and political decision making.
Parameters of Liberties of Life Include:
(i) Political Liberty of Participation in state administration.
(ii) Social Liberty of Freedom of Speech
(iii) Human Rights

Currently, India's ranking in HDI is low as compared to China, because these liberty indicators are not included in measurement of HDI.
If Liberty Indicators are to be included in HDI, India's ranking is likely to improve much better.

Ans. 36:

(a) GLF Campaign:

It was a campaign launched in China in 1958 to accomplish economic and industrial development at faster rate.

It focused on widespread industrialisation of the economy, encouraging people to set-up household industry in their backyard or courtyard. There were no checks and no restrictions.
This process of industrialisation aids to the growth rate of the Chinese economy.

(b) Cultural Revolution:
In 1965, the chairman of communist party of China (Mao Tse-Tung) has introduced Great Proletarian Cultural Revolution. According to this Revolution, Students and Professionals were sent to work and learn in rural areas.
This helped Chinese people to understand the basic problems of the economy and to help others in the path of development.

(c) Commune System:
It was a system of collective farming implemented by China in 1950s.
Under this system, Households were organised into teams, then teams formed bridges and then bridges formed commune.
In 1958, there were 26,000 communes covering almost the entire farming population in china.
Farmers pooled their land to create larger field which would yield greater output.

(d) Re-emergence of Poverty in Pakistan:
After Independence, Pakistan adopted policy of Import Substitution and relied on the protection of domestic industries. In 1988, Pakistan introduced Economic reforms. Pakistan was now focusing more on Competition rather than Protection of Industries.
These reforms increased the performance of Pakistan economy. In many aspects its performance was much better than the performance of India.
Although, everything in Pakistan Economy was sailing smooth, its economy once again slipped into "Poverty-mode".
Causes for Re-emergence of Poverty in Pakistan:

- No Stable Institutional Reforms in Agriculture sector. Accordingly, this sector remained volatile and highly vulnerable to climatic conditions.
- Foreign Exchange Requirements were largely met by Remittances from Abroad and agricultural exports. A setback to these sources of foreign exchange caused a setback in process of growth.
- Huge Public Expenditure on law and order due to lack of Public stability.
- Huge Cut in Developmental Expenditure as funds were allocated for building strong Defence system.

Ans. 37:
The three major components of Human Development Indicators are as follows:

a) **Human Development Index (HDI):**
HDI is an important indicator of socio-economic development. Higher the value of HDI shows the higher level of growth and development of a country.
In 2019, HDI for:
China: 0.761
India : 0.645
Pakistan: 0.557

b) Life Expectancy at Birth:

Life expectancy refers to the average number of years for which people are expected to live. A country which provides better health and civic facilities, secure a higher life expectancy for its citizens. Life Expectancy in:

China : 76.9 Years

India : 69.7 Years

Pakistan: 67.3 Years

c) GNP per Capita (PPP US$):

Higher ranking of China in HDI is mainly due to higher Gross National Income per capita. Higher Level of Income of people in the country is the result of greater economic activities in the country.

In 2019, China's GNP per capita was estimated to be US$ 16,057, while it was just US 6,681 for India and US$ 5,005 for Pakistan.

Ans. 38:

All the three economies have reported decline in the contribution of agriculture sector in GDP as follows:

The contribution of agricultural sector in GDP of the three economies is as follows:

Country	Proportion of Workforce	Contribution in GVA
China	26%	7%
India	43%	16%
Pakistan	41%	24%

Ans. 40:

a) Tariff and Non-Tariff Barriers:

Tariffs refer to the taxes levied on imported goods. The basic aim for imposing heavy duty on imported goods was to make them more expensive and discourage their use.

whereas,

Non Tariff Barriers or Quotas refers to the barriers imposed on the quantity of imports and exports. It is fixing the maximum limit on the imports of a commodity by a domestic producer.

b) Absorption Capacity and Carrying Capacity:

Absorption capacity means the ability of the environment to absorb degradation without causing environmental damage.

whereas,

Carrying Capacity implies that exploitation of resources should not go above the rate of resource generation and the generation of wastes should remain within the absorption capacity of the environment.

c) Casualisation and Informalisation of Workforce:

Casualisation refers to a situation when the percentage of causally hired workers in the total workforce tends to rise over time. The movement of labour from regular salaried work to casual wage work.

whereas,

Informalisation refers to a situation in which percentage of workforce in the Formal Sector tends to decline and that in the Informal Sector tends to rise.

d) Physical Capital and Human Capital:

Basis	Physical Capital	Human Capital
Separable from Owners	It is Separable from Owners	It is Inseparable from Owners
Mobility	It is completely mobile between the countries	It is not perfectly mobile due to nationality and culture restrictions
Capital Formation	It is done through Imports.	It is done through conscious policy formation.
Depreciation	Continuously Depreciates with time.	Depreciates, but it can be reduced with investment in Education and Health.
Cope with Change	Investment in it doesn't facilitate to cope with changes.	Investment in it facilitates to cope with changes in Technology.
Benefits of Capital Formation	Only Private Benefits (i.e. to the owners)	Both Private and Social Benefits.

e) Human Capital and Human Development:

Human Capital	Human Development
Human capital considers education and health as a means to increase labour productivity	In Human Development, Education and Health are integral to human well-being because only when people have ability to read and write and ability to lead a long and healthy life, they will be able to make other choices which they value.
Human Capital is a narrow concept as it treats human beings as a means to an end. Any investment in education and health is unproductive if it does not enhance output of goods and services.	Human Development is a broader concept as it considers human beings are ends in themselves. According to human development, human welfare should be increased through investments in education and health even if such investments do not result in higher labour productivity.

f) Bilateral and Multi-Lateral Trade:

Bilateral Trade refers to the trade between two countries,
whereas,
Multi-Lateral Trade is the trade between more than two countries.

g) Institutional and Non-Institutional Credit:

Institutional Sources of Credit refers to those sources which are legally meant to provide credit to the farmers. At the time of Independence, Institutional credit showed only a notional existence. In the beginning of First Five Year Plan, it accounted for only 7% of the credit needs of the farmers, but presently this share has increased over 66%.
Whereas,
Non Institutional Sources of Credit refers to traditional sources of agricultural credit in India. They were the major source of credit at the time of independence and includes, Money Lenders, Zamindars, Traders, Relatives, Commission Agents etc.

h) Regular and Casual Workers:

Regular Workers refers to those workers who are engaged by someone or by an enterprise and is paid wages on regular basis.

Whereas,

Casual Workers refers to those workers who are casually engaged and in return, get remuneration for the work done. They are not hired on permanent basis.